

2024

## Germany: IKB Deutsche Industriebank Capital Injection, 2008

Lakshimi Swaminathan  
*Yale School of Management*

Rishi Vala  
*Financial Markets Department, Bank of Canada*

Follow this and additional works at: <https://elischolar.library.yale.edu/journal-of-financial-crises>



Part of the [Banking and Finance Law Commons](#), [Economic History Commons](#), [Finance Commons](#), [Policy Design, Analysis, and Evaluation Commons](#), [Policy History, Theory, and Methods Commons](#), [Public Administration Commons](#), and the [Public Economics Commons](#)

---

### Recommended Citation

Swaminathan, Lakshimi and Vala, Rishi (2024) "Germany: IKB Deutsche Industriebank Capital Injection, 2008," *Journal of Financial Crises*: Vol. 6 : Iss. 3, 157-174.

DOI: <https://doi.org/10.17132/2693-3179.1576>

Available at: <https://elischolar.library.yale.edu/journal-of-financial-crises/vol6/iss3/8>

This Case Study is brought to you for free and open access by the Journal of Financial Crises and EliScholar – A Digital Platform for Scholarly Publishing at Yale. For more information, please contact [journalfinancialcrises@yale.edu](mailto:journalfinancialcrises@yale.edu).

---

#### READERS TAKE NOTICE:

As of April 2024, the YPFS Resource Library's site domain has changed to <https://elischolar.library.yale.edu/ypfs-financial-crisis-resource-library/>.

Please be aware that upon clicking any of the URL references to the former Resource Library domains, either <https://ypfs.som.yale.edu> or <https://ypfsresourcelibrary.blob.core.windows.net/>, in the "References/Key Program Documents" section of a case study, readers will encounter a "page not found" error.

Readers can still retrieve a given resource cited within this case study on the [new site](#) by searching [here](#) for the title cited.

# Germany: IKB Deutsche Industriebank Capital Injection, 2008<sup>1</sup>

*Lakshimi Swaminathan<sup>2</sup> and Rishi Vala<sup>3</sup>*

Yale Program on Financial Stability Case Study  
October 4, 2024

## Abstract

In July 2007, investors rapidly pulled their funding from asset-backed commercial paper (ABCP) programs that held US subprime mortgage-linked securities. According to the Financial Crisis Inquiry Commission (FCIC), German bank IKB Deutsche Industriebank AG (IKB) was the “first big casualty” of that run on ABCP. It had directly and indirectly guaranteed to provide EUR 9.3 billion in liquidity to its off-balance-sheet vehicle, Rhineland Funding Capital Corporation. German authorities and the Kreditanstalt für Wiederaufbau (KfW), a state-owned German development bank, quickly took over those obligations on July 30 to keep IKB solvent and prevent it from closing. KfW also agreed to cover up to EUR 1 billion of IKB’s potential losses on on-balance-sheet subprime mortgage assets. But IKB remained undercapitalized as losses increased on its on-balance-sheet exposures in 2008. KfW, with government backing, increased IKB’s capital by EUR 2.3 billion over the course of 2008, raising its ownership in IKB from a pre-Global Financial Crisis stake of 37.8% to a peak of 90.8%. The capital injection measures included the conversion of a EUR 54 million bond into equity in February 2008; a EUR 1 billion loan in February 2008, for which KfW immediately waived IKB’s obligation to repay unless IKB’s finances improved; and the injection of EUR 1.3 billion in common stock in August 2008. In October 2008, Lone Star, a US private equity firm, acquired KfW’s 90.8 % stake in IKB for EUR 137 million. The different measures German authorities took to support IKB cost the German taxpayers EUR 9.6 billion in total.

**Keywords:** GFC, IKB Deutsche Industriebank, KfW

---

<sup>1</sup> This case study is part of the Yale Program on Financial Stability (YPFS) selection of New Bagehot Project modules considering ad hoc capital injection programs. A survey of all the cases in this series (Rhee et al. 2024) and the individual cases underlying it are available from the *Journal of Financial Crises* at <https://elischolar.library.yale.edu/journal-of-financial-crises/vol6/iss3/>. Rhee et al. (2022) surveys broad-based capital injection programs.

<sup>2</sup> Research Associate, YPFS, Yale School of Management.

<sup>3</sup> Economist, Financial Markets Department, Bank of Canada.

## Overview

This case study details the capital injection provided to IKB Deutsche Industriebank AG (IKB) at the onset of the Global Financial Crisis (GFC). For an examination of the emergency liquidity assistance that preceded the capital injections, see (George and Alden, forthcoming).

As of 2007, IKB was a partly government-owned bank that focused on corporate banking, structured finance, real estate financing, and portfolio investments. The onset of the subprime mortgage crisis in the United States acutely affected IKB's off-balance-sheet vehicle, Rhineland Funding Capital Corporation, which invested in structured products with exposure to US subprime mortgages and was financed through asset-backed commercial paper (ABCP). IKB had provided liquidity facilities of EUR 8.1 billion (USD 10.9 billion)<sup>4</sup> and indirect protection of EUR 1.2 billion to Rhineland to refinance its ABCP. IKB also held Rhinebridge (IKB's off-balance-sheet vehicle) and other investment portfolios' subordinated debt on its balance sheet (EC 2009). In late July 2007, IKB's creditors ceased to renew their funding facilities with IKB because of uncertainty over whether IKB could continue to backstop Rhineland's short-term financing needs (FCIC 2011).

This prompted a sequence of measures effected by the Federal Financial Supervisory Authority (BaFin); the Federal Ministry of Finance; and Kreditanstalt für Wiederaufbau (KfW), a state-owned development bank that was IKB's largest shareholder entering the GFC in 2007. In July 2007, BaFin told KfW and the Federal Ministry of Finance that it would close IKB by imposing a moratorium if they

## Key Terms

Purpose: To avoid the bankruptcy of IKB, and to prevent a systemic financial crisis in Germany

|                   |                                                                                                 |
|-------------------|-------------------------------------------------------------------------------------------------|
| Announcement Date | Convertible bond: Jan. 7, 2008;<br>Capital injection (including the Tier 1 loan): Feb. 14, 2008 |
|-------------------|-------------------------------------------------------------------------------------------------|

|                  |                                                                                                   |
|------------------|---------------------------------------------------------------------------------------------------|
| Operational Date | Convertible bond: Feb. 28, 2008 (conversion to equity);<br>Capital injection: Feb. 2008–Aug. 2008 |
|------------------|---------------------------------------------------------------------------------------------------|

|                                 |               |
|---------------------------------|---------------|
| Date of Final Capital Injection | Aug. 21, 2008 |
|---------------------------------|---------------|

|          |               |
|----------|---------------|
| End Date | Oct. 29, 2008 |
|----------|---------------|

|                   |     |
|-------------------|-----|
| Source of Funding | KfW |
|-------------------|-----|

|               |                          |
|---------------|--------------------------|
| Administrator | German gov't through KfW |
|---------------|--------------------------|

|      |                 |
|------|-----------------|
| Size | EUR 2.3 billion |
|------|-----------------|

|                         |                                                                                                                                                                                                             |
|-------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Capital Characteristics | Convertible bond: Converted to common equity one month after issuance;<br>Cash capital: Common equity;<br>Loan: Regulatory Tier 1 equity subject to "better fortune" clause that waived immediate repayment |
|-------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|

|               |            |
|---------------|------------|
| Bail-in Terms | No bail-in |
|---------------|------------|

|          |                                                                                                                                          |
|----------|------------------------------------------------------------------------------------------------------------------------------------------|
| Outcomes | KfW sold its stake to Lone Star for EUR 137 million in Aug. 2008 resulting in a loss of more than EUR 9 billion to the German government |
|----------|------------------------------------------------------------------------------------------------------------------------------------------|

|                  |                                                                     |
|------------------|---------------------------------------------------------------------|
| Notable Features | IKB was one of the first banks in Germany to be affected by the GFC |
|------------------|---------------------------------------------------------------------|

<sup>4</sup> Per OANDA, EUR 1 = USD 1.36 on July 1, 2007.

could not reduce the risk exposure of IKB (EC 2009).

By the end of the month, BaFin, the Federal Ministry of Finance, and KfW organized a loss-sharing agreement, known as a risk shield, to absorb some of the losses from IKB's impaired assets. KfW remained committed to cover any losses on IKB's EUR 8.1 billion liquidity facilities as well as EUR 0.9 billion in indirect exposures that IKB also had to Rhineland through two facilities known as the Havenrock I and II conduits. KfW also agreed to cover up to EUR 1 billion of IKB's potential losses on a EUR 6.8 billion on-balance-sheet portfolio that largely consisted of subprime-linked securities. Three German private banking associations participated in the risk shield, which required them to absorb up to EUR 1 billion of the losses: the Association of German Private Banks (BdB), the Association of German Cooperative Banks (BVR), and the German Savings Banks Association (DSGV). In November 2007, KfW and the banking associations increased the loss coverage for IKB's Havenrock conduits to EUR 1.2 billion because of the increasing financial market stress (EC 2009).

But IKB's losses continued to grow. In February 2008, the German government mandated that KfW provide an additional EUR 2.3 billion to IKB to increase its capital. KfW recapitalized IKB by means of a EUR 54 million convertible bond (converted to equity one month after issuance); a EUR 1 billion loan that BaFin qualified as Tier 1 regulatory capital because KfW immediately waived IKB's obligation to make repayments unless and until IKB's finances improved; and a purchase of EUR 1.3 billion of newly issued IKB common stock. KfW's stake in IKB rose to 90.8% after these transactions (EC 2009).

KfW sold its stake in IKB in August 2008 to Lone Star Funds, a US private equity group, for EUR 137 million (EC 2009; KfW 2009b; Reuters 2017). This sale was completed in October 2008 after the European Commission (EC) approved the deal (EC 2009; KfW 2009a; KfW 2009b). The entire aid cost the German taxpayers EUR 9.6 billion (Kaserer 2010). However, despite the takeover, IKB Bank continued to receive liquidity support from the German authorities. This included receiving a guarantee of up to EUR 5 billion from SoFFin (Sonderfonds Finanzmarktstabilisierung, or Special Financial Market Stabilization Funds in English) in December 2008, as well as a guarantee of up to EUR 7 billion in August 2009 (EC 2008; Reuters 2009). Figure 1 encapsulates the events that were involved in resolving the crisis that IKB faced.

**Figure 1: Timeline of IKB Deutsche Industriebank**

| Date          | Event                                                                                                                                                                                  |
|---------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| July 27, 2007 | BaFin informs KfW and the Federal Ministry of Finance that it would close IKB by imposing a moratorium if the risk exposure of IKB is not handled by these parties                     |
| July 29, 2007 | BaFin, Federal Ministry of Finance, KfW, BdB, BVR, and DSGV agree that KfW and BaFin would provide a risk shield worth up to EUR 1 billion for IKB                                     |
| July 30, 2007 | KfW provides protection for the liquidity facility IKB provided to Rhineland (EUR 8.1 billion) and protection against losses of up to EUR 1 billion for the on-balance-sheet exposures |
| Aug. 16, 2007 | The three German private banking associations (BdB, BVR, and DSGV) decide to take over 30% of KfW's risk exposure, with a EUR 1 billion cap                                            |

|                |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |
|----------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Nov. 30, 2007  | KfW and the three private banking associations provide an ancillary risk shield of EUR 350 million when the original risk shield proves to be insufficient<br>KfW covers EUR 150 million, of which EUR 54.3 million took the form of a convertible bond, which IKB converts into shareholder equity on February 14, 2008 (effective on February 28, 2008), thereby increasing KfW's share in IKB to 43%. A further EUR 150 million is provided by BdB and EUR 50 million by BVR and DGSV |
| Jan. 7, 2008   | The German government issues a 4.75% convertible bond with a duration of one year                                                                                                                                                                                                                                                                                                                                                                                                        |
| Feb. 14, 2008  | The EUR 54 million convertible bond that KfW provided under the ancillary risk shield measure is converted to common equity<br>The German government directs KfW to provide an additional support of EUR 2.3 billion <ul style="list-style-type: none"> <li>• EUR 1 billion is in a loan, subject to a "better fortune" clause, making the loan qualify as Tier 1 capital</li> <li>• EUR 1.3 billion is in common stock</li> </ul>                                                       |
| Feb. 20, 2008  | KfW provides approximately EUR 600 million of the EUR 1 billion loan                                                                                                                                                                                                                                                                                                                                                                                                                     |
| March 20, 2008 | KfW provides approximately EUR 400 million of the EUR 1 billion loan                                                                                                                                                                                                                                                                                                                                                                                                                     |
| Aug. 2008      | KfW conditionally consents to subscribe to about 487 million new shares of IKB common stock valued at EUR 2.56 per share                                                                                                                                                                                                                                                                                                                                                                 |
| Aug. 21, 2008  | Lone Star buys IKB Bank for EUR 137 million and agrees to inject an additional EUR 225 million in capital; the "better fortune" clause is eliminated, essentially resulting in a write-down of the entire EUR 1 billion loan                                                                                                                                                                                                                                                             |
| Oct. 29, 2008  | Lone Star completes its takeover of IKB following EC approval                                                                                                                                                                                                                                                                                                                                                                                                                            |

*Source: Authors' analysis*

## Summary Evaluation

In a technical note produced by the International Monetary Fund (IMF), the authors described the support to IKB as "substantial" (IMF 2011). The EC ruled in its State Aid decision that it saw "no commercial reason for the disproportionate involvement of KfW" compared to that of the three German private banking associations (EC 2009). The EC, while evaluating whether the capital injections amounted to State Aid, concluded that KfW went beyond what a private investor would have done. The EC decision also expressly stated that these interventions would not have been less costly for Germany and KfW than liquidation (EC 2009).

A report from PriceWaterhouse Coopers (PwC), commissioned by IKB's managing board of directors after the episode revealed that IKB's failure stemmed from the fact that its evaluations of investments in structured products were primarily based on third-party ratings and not on their own understanding of the instruments and how they contributed to the overall portfolio risk. Consequently, reduction in the credit asset quality that did not witness a similar downgrade from third parties went unnoticed until the GFC struck in August 2007 (Forbes and O'Donohoe 2015; IKB 2007b).

Moreover, scholars Forbes and Donohoe (2015) state that inadequate risk management along with weak governance (as evidenced by office held by senior officials from outside the banking sector) contributed to the downfall of the bank.

KfW's 2008 annual report stated that although it had to bear a high financial burden to rescue IKB, that decision "proved to be correct" (KfW 2009a).

| <b>Context: Germany, IKB Deutsche Industriebank, 2007–2008</b>                                                                |                                                                                                                                                     |
|-------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Assets</b>                                                                                                                 | <b>EUR 54 billion</b> as of March 31, 2007<br><b>EUR 50 billion</b> as of March 31, 2008                                                            |
| <b>Liabilities</b>                                                                                                            | <b>EUR 53 billion</b> as of March 31, 2007<br><b>EUR 37 billion</b> as of March 31, 2008                                                            |
| <b>Deposits</b>                                                                                                               | <b>No information</b>                                                                                                                               |
| <b>Tier 1 Ratio</b>                                                                                                           | <b>7.1%</b> as of March 31, 2007<br><b>6%</b> as of March 31, 2008                                                                                  |
| <b>Nonperforming Loans</b>                                                                                                    | <b>EUR 1.6 billion</b> as of March 31, 2007<br><b>EUR 1.3 billion</b> as of March 31, 2008                                                          |
| <b>Market Share</b>                                                                                                           | <b>No information</b> for March 31, 2007<br><b>10%</b> of lending market (long-term corporate loans to manufacturing industry) as of March 31, 2008 |
| <b>Banking System, % of GDP</b>                                                                                               | <b>117.4%</b> as of March 31, 2007<br><b>115.7%</b> as of March 31, 2008                                                                            |
| <i>Sources: Bloomberg; IKB 2008d; World Bank Global Financial Development Database; World Bank Deposit Insurance Dataset.</i> |                                                                                                                                                     |



## Key Design Decisions

### 1. Purpose: KfW provided capital to prevent IKB from breaching its minimum capital requirements and destabilizing of the German economy.

In February 2008, after earlier efforts by the German authorities to aid IKB proved insufficient (see Key Design Decision No. 2, Part of a Package), the German government mandated that KfW furnish an additional EUR 2.3 billion to IKB (EC 2009). This capital injection was necessary to keep the IKB from breaching its minimum capital requirements and provided additional risk protection (EC 2009; KfW 2008). These capital injections permitted IKB to maintain a Tier 1 capital ratio of 5.3%, above the 4% mandated minimum. The total capital ratio stood at 8.7% for IKB, which helped them meet the mandated minimum of 8%. IKB as a whole was also able to maintain Tier 1 capital ratio of 6% and total capital ratio of 9.8% (IKB 2008d). IKB had considered bringing Rhineland Funding (its off-balance-sheet investment vehicle) onto its balance sheet in October 2007 (Simensen 2007). It retroactively consolidated Rhineland Funding in the 2006-07 annual accounts, as restated in February 2008 (IKB n.d.).

KfW's 2008 annual report asserts that capital injection was to preserve a bank for small- and medium-sized enterprises as well as to protect the confidence in the German financial market and its economy from "destabilization" and "damage" (KfW 2009a). However, in its October 2008 State Aid decision, the EC noted that it did not agree with the perception of the German authorities that the problem would have resulted in a systemic crisis (EC 2009).

### 2. Part of a Package: The capital injection was preceded by risk shields, protection on losses to IKB from certain assets, and a liquidity facility. After the capital injection, there was another liquidity facility and IKB was restructured.

In July 2007, prompted by BaFin, IKB's biggest shareholder, KfW, provided the first set of protection for IKB for losses incurred from EUR 8.1 billion worth of a liquidity facility provided to IKB's off-balance-sheet vehicle Rhineland Funding. KfW also agreed to cover up to EUR 1 billion of IKB's potential losses on on-balance-sheet investments in portfolios with exposure to subprime mortgages (EC 2009).

Three German private banking associations—BdB, BVR and DSGV—afterwards agreed to cover 30% of KfW's costs under this protection for IKB with a cap of EUR 1 billion. On November 30, 2007, KfW and the three private banking associations agreed to cover additional risks of IKB amounting to USD 350 million (EC 2009).

In January 2008, KfW provided IKB with a secured refinancing liquidity facility in the amount of EUR 1.5 billion (IKB 2008b). The capital injection took place starting February 2008. KfW then created a second liquidity facility on July 18, 2008, after the capital injection, for an additional EUR 1.5 billion (EC 2009; IKB 2009). Both of these liquidity facilities charged an interest rate based on a spread over the Euro Interbank Offered Rate (Euribor). Collateral requirements were set high enough, at more than 100%, to aim to cover the loans even in a

“worst-case scenario” (EC 2009). Some of the portfolio investments of IKB that were not sold to Lone Star Funds were restructured and packaged.

For details about the emergency liquidity provided to IKB, see George and Alden (forthcoming).

**3. Legal Authority: The capital injections were carried out in accordance with the existing law allowing for the government to direct KfW's funds for state interest.**

The German government relied on the existing Article 2, Paragraph 4 of the Law Concerning KfW to carry out the capital injections (KfW 2008; KfW 2020). This authority empowered the German government to direct KfW's financing activities toward operations in which the government had a state interest (KfW 2020).

In addition to their national law, the German government also required approval from the EC to assess whether the measures taken to protect IKB amounted to State Aid (EC 2009). The EC found that the risk shield and capital contribution measures failed the private investor test and therefore had to be regarded as State Aid. The EC further held that these measures did not qualify for the exception to the general prohibition against State Aid under Article 107(3)(b) Treaty on the Functioning of the European Union (TFEU), which allows EU member states to grant State Aid to remedy a serious disturbance in the economy. As the IKB episode took place before the financial crisis fully developed into a systemic crisis, the EC considered this failure to be firm-specific as opposed to systemic and did not expect IKB's insolvency to have systemic consequences. However, the EC found that the aid could qualify for an exception under the Rescue and Restructuring guidelines, subject to a restructuring plan to be implemented by 2011 (Frisch 2017).

**4. Administration: KfW administered the capital injections.**

KfW administered the capital injections at the behest of the German government (EC 2009; KfW 2009a). Moreover, the EC also reported that all of KfW's decisions were attributable to the German state as the Federal Ministry of Finance was involved in the capital injection decision making and administration processes (EC 2009).

**5. Governance: The capital injection was subject to EC oversight under State Aid rules.**

The capital injection was subject to both EC oversight and State Aid rules (EC 2009). An article by Klaus Engelen in the journal *International Economy* criticized the lack of diligent reports and summaries disclosed during the episode (Engelen 2008).

**6. Communication and Disclosure: KfW reported that measures to aid IKB were necessary to prevent a destabilization of the German economy.**

On February 11, 2008, *Dow Jones* reported that authorities considered using tax money to bail out IKB and that sources familiar with this situation asserted that “no option is taboo.” The same article stated that while the BaFin president threatened to close down IKB, he was

dissuaded by the president of the Bundesbank (Dow Jones International News 2008). IKB's shares fell by more than 20 percent that day, before the capital injection plan was to be discussed; the same article posited that some observers believed that IKB's crisis was being turned into a "game of brinkmanship" by IKB's shareholders to pressure for a private sector bailout (Morarjee and Benoit 2008).

Following the provision of a capital injection worth EUR 600 million in February 2008, the German Finance minister stated that the German government was aiming for a quick sale of IKB (Sobolewski 2008). KfW's 2008 annual report asserts that the capital injection measures were made for additional risk protection as well as to protect the German economy from "destabilization" and "damage" (KfW 2009a). The 2009 EC State Aid decision included details pertaining to the capital injections but redacted some key figures.

**7. Treatment of Creditors and Equity Holders: The conversion of a convertible bond to equity in January 2008 increased KfW's stake in IKB to 43%.**

Upon conversion of the bond one month after issuance, KfW's ownership stake increased by 5.6%, from 37.8% to 43.4% in February 2008 (KfW 2008). According to Capital IQ data, the transaction excluded pre-emptive rights,<sup>5</sup> thereby proportionately diluting existing shareholders.

**8. Capital Characteristics: First, KfW provided a EUR 54.3 million convertible bond that was converted to common equity one month after its issuance. Second, KfW provided a loan in two tranches in early 2008 and immediately waived IKB's obligation to repay, thereby increasing IKB's capital. Third, KfW subscribed to 487 million new shares of common stock at EUR 2.56 per share in August 2008.**

KfW injected capital into IKB through three different instruments: a convertible bond, a loan that it didn't require IKB to repay, and common stock (EC 2009).

According to Capital IQ data, on January 7, 2008, IKB issued a one-year, 4.75% convertible bond that was fully subscribed by KfW, as part of the risk shield. The security was structured as senior debt prior to conversion; upon conversion one month after issuance, KfW received common equity amounting to 5.6% of IKB's total equity (IKB 2008b). For pricing, the bond was issued at a 0.1% spread to the 12-month Euribor, which fluctuated between 4.65% and 4.88% during this period (Deutsche Bundesbank 2022). This conversion increased the subscribed capital of IKB from EUR 225.3 million to EUR 247.8 million comprising approximately 99 million notional no-par value bearer shares. The issuance of the convertible bonds was authorized by a resolution adopted by the general meeting of September 9, 2004, which entitled the board of managing directors to issue convertible bonds and/or bonds with warrants with an aggregate value of up to EUR 300 million and to grant the holders of such bonds or shares conversion or option rights for up to EUR 22.5

---

<sup>5</sup> These rights refer to the right of existing shareholders to purchase newly issued stock of the corporation before it is offered to the others. Thus, exclusion of preemptive rights would dilute the stake of existing shareholders (Legal Information Institute n.d.).

million of the share capital in accordance with the laid-down conditions until September 8, 2009 (IKB 2008d).

KfW invested EUR 1 billion in IKB in the form of loans on which it immediately waived IKB's obligation to repay, making it possible to be counted toward Tier 1 capital per section 272(2)4 of HGB (German GAAP) (EC 2009). IKB received EUR 600 million of the EUR 1 billion loan on February 20, 2008, and EUR 450 million of the loan on March 20, 2008 (Reuters 2008; Sobolewski 2008). This loan did not entitle KfW to additional voting rights, nor did they indicate any change in KfW's ownership stake in IKB (IKB 2008a). The loan was subject to a "better fortune" clause, under which IKB could repay the loan only if IKB did not incur an accounting loss under HGB and its regulatory capital was above 9%. Interest payments on the loan were due only if such payments did not incur a loss for IKB in its financial statements under HGB. These payments out of future profits, however, were to precede payments for other profit-participation certificates<sup>6</sup> (IKB 2008b).

Additionally, in August 2008, KfW conditionally consented to subscribe to about 487 million new IKB shares (common stock) valued at EUR 2.56 per share. The condition of the capital injection was that the European Commission either determined that this share subscription was compatible with applicable State Aid rules under the EC Treaty or approved the IKB risk protection and support measures, in each case by no later than October 25, 2008. According to Capital IQ data, the transaction was structured as a subscription-rights-offering—a structure in which existing shareholders can purchase new shares of a secondary offering before these new shares are available to the open market. Existing shareholders were offered new shares at a ratio of 6:1. KfW transferred EUR 1.25 billion in connection with this transaction to a trust account (the satisfaction of their condition was still pending). This transaction was executed on October 24, 2008, following EC approval on October 21, 2008, and increased KfW's stake from 45.5% to 90.8% (KfW 2009b).

**9. Size and Source of Funding: KfW provided EUR 2.3 billion, of which EUR 1.2 billion was guaranteed by the federal government. A private banking association contributed EUR 300 million.**

The German government infused equity capital into IKB via the KfW by means of a EUR 54.3 million convertible bond, a EUR 1 billion loan that was eligible as Tier 1 capital under regulatory requirements, and a EUR 1.3 billion (before costs) purchase of newly issued common stock (EC 2009; IKB 2008c; KfW 2009b).

The common stock capital injection measure's announced sizes were inconsistent with the sizes of the actual transactions. As per KfW's 2008 Form 18-K submitted to the US Securities and Exchange Commission (SEC) and IKB's press releases, KfW invested a total of EUR 2.3 billion of capital into IKB. This sum included EUR 1 billion as a loan and at least EUR 1.3 billion (before costs) in exchange for common stock. For the contribution of KfW's EUR 2.3 billion, the German government guaranteed EUR 1.2 billion and the three private banking

---

<sup>6</sup> A profit-participation certificate is a security that entitles the holder to dividends based on the performance of the issuing company. Holders do not have a share of ownership in the company nor are they eligible to vote on company decisions (Moneyland n.d.).

associations contributed an EUR 300 million (EC 2009; KfW 2009b). These supports come in to help KfW as it could not assume the entire financial risk from the investment into IKB because it would have placed the European Recovery Program (ERP) Special Fund at risk<sup>7</sup> (KfW 2008).

**10. Timing: After the German government provided guarantees and protections to IKB, KfW provided a liquidity facility and injected capital into IKB. Lone Star acquired IKB after the capital injection.**

Following the onset of the US subprime crisis, IKB was at risk of bankruptcy owing to the freezing of the commercial paper market. IKB faced acute pressure on July 27, 2007, after its counterparties froze their liquidity facilities. A couple of days later, BaFin told KfW and the Federal Ministry of Finance, that it would close IKB by imposing a moratorium if they could not reduce the risk exposure of IKB. By the end of the month, BaFin, the Federal Ministry of Finance, and KfW organized a loss-sharing agreement, known as a risk shield, to absorb some of the losses from IKB's impaired assets (EC 2009).

But IKB's losses continued to grow. In February 2008, the German government mandated that KfW provide an additional EUR 2.3 billion to IKB to increase its capital (EC 2009). KfW recapitalized IKB by means of a EUR 54 million convertible bond (converted to equity one month after issuance); a EUR 1 billion loan that BaFin qualified as Tier 1 regulatory capital because KfW immediately waived IKB's obligation to make repayments unless and until IKB's finances improved; and a purchase of EUR 1.3 billion of newly issued IKB common stock. KfW's stake in IKB rose to 90.8% after these transactions (EC 2009).

KfW sold its stake in IKB in August 2008 to Lone Star Funds, a US private equity group, for EUR 137 million (EC 2009; KfW 2009b; Reuters 2017). This sale was completed in October 2008 after the EC approved the deal (EC 2009; KfW 2009a; KfW 2009b).

**11. Restructuring: The capital injection preceded a restructuring process that led to the sale of KfW's stake to Lone Star Funds.**

The capital injection preceded the creation of a restructuring plan intended to downsize IKB's risk portfolio and prioritize its core business lines (EC 2008; IKB 2008c). On October 29, 2008, KfW sold its stake (90.8%) to the US private equity fund Lone Star Funds (KfW 2009a; KfW 2009b).

**12. Treatment of Board and Management: IKB's old management was replaced by KfW appointees but not as a part of the capital injection but of prior interventions.**

A member of KfW's board of managing directors replaced IKB's CEO. In addition, IKB's board of managing directors appointed a director from KfW. These appointments (which preceded the capital injection) were made on July 30, 2007, immediately upon the start of the

---

<sup>7</sup> The ERP Special Fund is a source of capital that KfW draws upon to fund its promotional capacities under its federal mandate (KfW 2008).

government's initial involvement with IKB (IKB Board of Directors 2007; IKB 2007a; IKB 2007b).

In the EC's assessment of compensatory measures taken to avoid undue distortions of competition, these management replacements were recognized as a "valuable signal against moral hazard" (EC 2009).

### **13. Other Conditions: The EC imposed restrictions pertaining to IKB's balance sheet and activities.**

The EC imposed a limitation of a balance sheet total amounting to EUR 33.5 billion until the end of the restructuring period (September 30, 2011). This was to ensure that IKB does not circumvent the closures and divestitures from restructuring through rebuilding the business in other parts of the bank or simply transferring it (EC 2009).

Before IKB could be sold, the following conditions had to be fulfilled: the EC's decision in the State Aid proceedings, registration of IKB's capital increase at the Düsseldorf local court, and exempting BaFin from making a mandatory offer in line with the Security Acquisition and Takeover Act (IKB 2009).

### **14. Regulatory Relief: There was no regulatory relief involved in these capital injections.**

Our research found no evidence of regulatory relief in these capital injections.

### **15. Exit Strategy: KfW's 90.8% stake in IKB was sold off to Lone Star, a US private equity fund.**

The restructuring plan outlined KfW's intention to sell off its stake (90.8%) in IKB to interested bidders through an open, nondiscriminatory, and transparent bidding process (EC 2009). The sale process commenced in January 2008 and came to an end on August 21, 2008, when Lone Star was chosen as the winning bidder to acquire KfW's stake; the sale was completed on October 29, 2008 (EC 2009; KfW 2009a; KfW 2009b).

The risk-sharing among the parties was as follows: On August 25, 2008, KfW assumed control over one of IKB's portfolios worth EUR 1.6 billion for EUR 1 billion. Overall, KfW received a reimbursement of EUR 750 million from the German state for losses borne on these instruments. In addition to this, KfW indemnified IKB up to amounts agreed upon in connection to legal costs and provided IKB financing on market terms to IKB and other entities connected to IKB by providing EUR 0.6 billion in senior funding to a special purpose vehicle (KfW 2009b).

KfW sold its stake in IKB in August 2008 to Lone Star Funds, a US private equity group, for EUR 137 million (EC 2009; KfW 2009b; Reuters 2017). Ultimately, the compensation rights of KfW relating to future profits in connection with debt waivers worth EUR 1 billion also transferred over to the Lone Star Group (IKB 2009). Figure 2 displays the composition of the stakeholders of IKB before and after its sale to Lone Star.

**Figure 2: Shareholders of IKB Before and After Sale to Lone Star**

| Entity name                           | Stake        | Entity name                           | Stake        |
|---------------------------------------|--------------|---------------------------------------|--------------|
| KfW                                   | 90.8%        | Lone Star                             | 90.8%        |
| Stiftung Industrieforschung           | 1.7%         | Sal Oppenheim Jr. & Cie. S.C.A.       | 4.5%         |
| Sal Oppenheim jr. & Cie. S.C.A.       | 0.5%         | UBS AG                                | 2.9%         |
| UBS AG                                | 2.9%         | <b>Total (as of October 29, 2008)</b> | <b>98.2%</b> |
| <b>Total (as of October 24, 2008)</b> | <b>98.1%</b> |                                       |              |

Sources: (IKB 2008a; IKB 2009)

## References and Key Program Documents

### Legal/Regulatory Guidance

(KfW 2020) Kreditanstalt für Wiederaufbau (KfW). 2020. Law Concerning Kreditanstalt Für Wiederaufbau.

*Laws concerning KfW, a bank.*

<https://elischolar.library.yale.edu/ypfs-documents2/294>

(Legal Information Institute n.d.) Legal Information Institute. n.d. "Preemptive Right." Cornell Law School. Accessed November 11, 2023.

*Web page clarifying the meaning of preemptive right.*

<https://elischolar.library.yale.edu/ypfs-documents2/2763>

(Moneyland n.d.) Moneyland. n.d. "Profit Participation Certificate." Accessed June 15, 2023.

*Webpage describing a profit participation certificate.*

<https://elischolar.library.yale.edu/ypfs-documents2/308>

### Media Stories

(Dow Jones International News 2008) Dow Jones International News. 2008. "German Fin Min Looking into Options to Bail Out IKB -Reports," February 11, 2008.

*News article on the options considered by the German Finance Minister.*

<https://elischolar.library.yale.edu/ypfs-documents2/2742>

(Morarjee and Benoit 2008) Morarjee, Rachel, and Bertrand Benoit. 2008. "IKB Shares Fall Ahead of Rescue Talks." *Financial Times*, February 11, 2008.

*Article on the slump faced by IKB shares.*

<https://elischolar.library.yale.edu/ypfs-documents2/2747>

(Reuters 2008) Reuters. 2008. "German Bank Gets Another Cash Infusion." *The New York Times*, March 20, 2008.

*News article on the cash injection received by IKB Bank.*

<https://elischolar.library.yale.edu/ypfs-documents2/2748>

(Reuters 2009) Reuters. 2009. "EU Clears State Aid for Germany's IKB Bank," August 17, 2009.

*Article on the EU aid to IKB Bank.*

<https://elischolar.library.yale.edu/ypfs-documents2/2751>

(Reuters 2017) Reuters. 2017. "Lone Star Renews Efforts to Sell IKB - Source." *Reuters*, June 29, 2017.

*Article on the proposed sale of IKB.*

<https://elischolar.library.yale.edu/ypfs-documents2/2752>



(Simensen 2007) Simensen, Ivar. 2007. "PwC Review Prompts IKB Departures." *Financial Times*, October 16, 2007.

*Article on the PwC report that led to turmoil at IKB.*

<https://elischolar.library.yale.edu/ypfs-documents2/2754>

(Sobolewski 2008) Sobolewski, Matthias. 2008. "German Finmin Says IKB Stable, Plans Fast Sale." Reuters, February 20, 2008.

*Article on the opinion of the German finance minister's opinion on IKB Bank.*

<https://elischolar.library.yale.edu/ypfs-documents2/2749>

### **Press Releases/Announcements**

(IKB 2007a) IKB Deutsche Industriebank AG (IKB). 2007a. Preliminary Results for the First Quarter (1 April 2007 – 30 June 2007).

*IKB Deutsche Industriebank AG press release on the quarterly results.*

<https://elischolar.library.yale.edu/ypfs-documents2/2452/>

(IKB 2007b) IKB Deutsche Industriebank AG (IKB). 2007b. "Special Report by PricewaterhouseCoopers Available – IKB Drives Realignment of the Business Forward." Press release, October 16, 2007.

*IKB Deutsche Industriebank AG press release financial health of IKB Bank (in German).*

<https://elischolar.library.yale.edu/ypfs-documents2/292>

(IKB n.d.) IKB Deutsche Industriebank (IKB). n.d. Ad hoc announcement according to Section 15 WpHG: IKB expects higher valuation losses on portfolio investments - received further support - earnings forecast adjusted.

*Press release from IKB announcing the restated financial accounts (in German).*

<https://elischolar.library.yale.edu/ypfs-documents2/2756>

(IKB Board of Directors 2007) IKB Board of Directors. 2007. "Ad-hoc Announcement." Press release, August 7, 2007.

*Press release from IKB Bank's Board of Directors on the measures taken (in German).*

<https://elischolar.library.yale.edu/ypfs-documents2/2454/>

### **Reports/Assessments**

(Deutsche Bundesbank 2022) Deutsche Bundesbank. 2022. "Money Market Rates," June 15, 2022.

*Statistics on money market rates in German).*

<https://elischolar.library.yale.edu/ypfs-documents2/298/>

(EC 2008) European Commission (EC). 2008. "State Aid N 639/2008 – Germany, Guarantee for IKB," December 22, 2008.

*EC document on the liquidity guarantee provided to IKB Bank in December 2008.*

<https://elischolar.library.yale.edu/ypfs-documents2/2755>

(EC 2009) European Commission (EC). 2009. "Commission Decision of 21 October 2008 on State Aid Measure C 10/08 (Ex NN 7/08) Implemented by Germany for the Restructuring of IKB Deutsche Industriebank AG," October 23, 2009.

*Decision by the European Commission on the restructuring of IKB.*

<https://elischolar.library.yale.edu/ypfs-documents2/293>

(FCIC 2011) Financial Crisis Inquiry Commission (FCIC). 2011. "Financial Crisis Inquiry Report," 2011.

*Report on Global Financial Crisis that describes market conditions at the time of IKB's financial problems.*

<https://elischolar.library.yale.edu/ypfs-documents2/2453/>

(IKB 2008a) IKB Deutsche Industriebank (IKB). 2008a. Annual Report 2007/2008.

*IKB's annual report for the 2007/2008 financial year.*

<https://elischolar.library.yale.edu/ypfs-documents2/2764/>

(IKB 2008b) IKB Deutsche Industriebank (IKB). 2008b. Financial Statements and Management Report 2007/2008.

*Report covering IKB's operations and financial statements for the 2007/2008 financial year.*

<https://elischolar.library.yale.edu/ypfs-documents2/2760>

(IKB 2008c) IKB Deutsche Industriebank AG (IKB). 2008c. IKB Deutsche Industriebank AG Restated Financial Statements and Management Report 2006/2007.

*Financial statements of IKB Bank for the year 2006-07.*

<https://elischolar.library.yale.edu/ypfs-documents2/2758>

(IKB 2008d) IKB Deutsche Industriebank AG (IKB). 2008d. IKB Deutsche Industriebank AG Financial Statements and Management Report 2007/2008.

*IKB financial statements for 2007/2008.*

<https://elischolar.library.yale.edu/ypfs-documents2/2760>

(IKB 2009) IKB Deutsche Industriebank (IKB). 2009. "Annual Financial Statements and Management Report of IKB Deutsche Industriebank AG 2008/2009," 2009.

*Report covering IKB's operations and financial statements for the 2008/2009 financial year.*

<https://elischolar.library.yale.edu/ypfs-documents2/2757>

(IMF 2011) International Monetary Fund (IMF). 2011. "Germany: Technical Note on Crisis Management Arrangements.," December 23, 2011.

*Report on crisis management arrangements in Germany.*

<http://elischolar.library.yale.edu/ypfs-documents2/291>

(KfW 2008) Kreditanstalt für Wiederaufbau (KfW). 2008. Annual Report 2007.

*KfW's annual report for the year 2007.*

<https://elischolar.library.yale.edu/ypfs-documents2/297/>

(KfW 2009a) Kreditanstalt für Wiederaufbau (KfW). 2009a. Annual Report 2008.  
*KfW's annual report for the year 2008.*  
<https://elischolar.library.yale.edu/ypfs-documents2/2762>

(KfW 2009b) Kreditanstalt für Wiederaufbau (KfW). 2009b. Form 18-K, 2008 Annual Report of KfW.  
*Form 18-K from KfW's annual report for 2008.*  
<https://elischolar.library.yale.edu/ypfs-documents2/310/>

### Key Academic Papers

(Engelen 2008) Engelen, Klaus C. 2008. "Denial, Coverup and the Blaming of Others." *International Economy*, Summer 2008.  
*Article on the negligence of IKB's officials.*  
<https://elischolar.library.yale.edu/ypfs-documents2/2743>

(Forbes and O'Donohoe 2015) Forbes, William, and Sheila O'Donohoe. 2015. "Financial Regulation, Collective Cognition, and Nation State Crisis Management: A Multiple Case Study of Bank Failures in Germany, Ireland, and the UK." *Journal of Risk Finance* 16, no. 3: 284–302, May 18, 2015.  
*Study on the framework of crisis management in Germany, Ireland, and the UK.*  
<https://elischolar.library.yale.edu/ypfs-documents2/2744>

(Frisch 2017) Frisch, Sven. 2017. "Crisis Aid to Banks in Germany. In Research Handbook on State Aid in the Banking Sector." Edited by François-Charles Lapr v te, Joanna Gray, and Francesco De Cecco, 219–241. Cheltenham, UK: Edward Elgar. Cleary Gottlieb, 2017.  
*Study on the banking crisis aid in Germany.*  
<https://elischolar.library.yale.edu/ypfs-documents2/2745>

(George and Alden, forthcoming) George, Ayodeji, and Sophie Alden. Forthcoming. "Germany: IKB Deutsche Industriebank Emergency Liquidity Assistance, 2008." *Journal of Financial Crises*.  
*YPFS case study focusing on the AH L to IKB in Germany.*

(Kaserer 2010) Kaserer, Christoph. 2010. "State Aid for Banks and Its Costs – Necessity and Characteristics of an Exit Strategy," July 29, 2010.  
*Report covering the status of market turmoil and state intervention in German banks during the onset of the GFC.*  
<https://elischolar.library.yale.edu/ypfs-documents2/2761>

(Rhee, Oguri, et al. 2022) Rhee, June, Junko Oguri, Greg Feldberg, and Andrew Metrick. 2022. "Broad-Based Capital Injection Programs." *Journal of Financial Crises* 4, no. 1.  
*Survey of YPFS case studies examining broad-based capital injection programs.*  
<https://elischolar.library.yale.edu/journal-of-financial-crises/vol4/iss1/1>

(Rhee, Hoffner, et al. 2024) Rhee, June, Benjamin Hoffner, Greg Feldberg, and Andrew Metrick. 2024. "Survey of Ad Hoc Capital Injections." *Journal of Financial Crises*. *Survey of YPFS case studies examining ad hoc capital injections*.  
<https://elischolar.library.yale.edu/journal-of-financial-crises/vol6/iss3/1>

Copyright 2024 © Yale University. All rights reserved. To order copies of this material or to receive permission to reprint any or all of this document, please contact the Yale Program on Financial Stability at [ypfs@yale.edu](mailto:ypfs@yale.edu).